AEGIS BANK

Standard Operating Procedure (SOP)

Account Opening Procedure

Enterprise AI Decision & Knowledge Platform for Modern Banking

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1. Purpose

The purpose of this Standard Operating Procedure is to establish a consistent, secure, and compliant process for opening customer accounts at Aegis Bank.

This SOP ensures that customer onboarding activities comply with applicable banking regulations, Know Your Customer (KYC) requirements, Anti-Money Laundering (AML) obligations, internal risk management standards, and customer service expectations.

The objectives are to:

- Standardize account opening procedures.
- Protect the Bank from fraud and financial crime.
- Ensure regulatory compliance.
- Verify customer identity.
- Improve customer onboarding efficiency.

- Maintain accurate customer records.

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2. Scope

This SOP applies to all employees involved in customer onboarding, including:

- Branch Officers
- Relationship Managers
- Customer Service Representatives
- Operations Officers
- Compliance Officers
- Branch Managers

This procedure applies to all retail and business account opening activities conducted through:

- Physical branches
- Digital banking channels
- Mobile banking applications
- Corporate relationship teams

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3. Objectives

The account opening process aims to:

- Verify customer identity.
- Assess customer risk.
- Collect required documentation.
- Ensure regulatory compliance.
- Prevent fraud.
- Create accurate customer records.
- Deliver an efficient onboarding experience.

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4. Roles & Responsibilities

Branch Officer

Responsible for:

- Greeting customers.
- Explaining account options.
- Collecting application forms.
- Verifying submitted documents.
- Uploading required documentation.
- Creating customer profiles.

Operations Officer

Responsible for:

- Reviewing application completeness.
- Validating documentation.
- Processing account creation.
- Assigning account numbers.
- Activating customer records.

Compliance Officer

Responsible for:

- Reviewing KYC documentation.
- Performing AML screening.
- Reviewing sanctions screening results.
- Approving higher-risk customers.
- Escalating suspicious cases.

Branch Manager

Responsible for:

- Supervising account opening activities.
- Approving exception cases.
- Monitoring compliance.
- Supporting operational quality.

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5. Account Types

Aegis Bank offers the following account categories:

Personal Savings Account

Designed for individuals managing personal savings and day-to-day banking needs.

Current Account

Suitable for frequent transactions by individuals and businesses.

Business Account

Designed for registered businesses and commercial entities.

Joint Account

Allows multiple authorized account holders to operate a shared account according to agreed signing instructions.

Student Account

Available to eligible students with simplified account requirements and age-specific eligibility criteria.

Premium Banking Account

Provides enhanced banking services and dedicated relationship management for qualifying customers.

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6. Customer Eligibility

Applicants must satisfy the following eligibility requirements:

- Meet minimum age requirements or provide legal guardian documentation where applicable.
- Submit valid identification.
- Provide proof of residential address where required.
- Successfully complete identity verification.
- Pass sanctions and AML screening.
- Accept the Bank's terms and conditions.

Business customers must also provide legal registration documents and authorized signatory information.

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7. Required Documentation

Individual Customers

Required documents may include:

- Government-issued photo identification.
- Passport (where applicable).
- Driver's License or National ID Card.
- Proof of address (utility bill, bank statement, or government correspondence).
- Tax Identification Number (where applicable).
- Contact information.
- Recent passport-sized photograph (if required).

Business Customers

Additional documentation includes:

- Certificate of Incorporation.
- Business Registration Certificate.
- Articles of Association.
- Tax Registration Certificate.
- Board Resolution (where applicable).
- Authorized Signatory List.
- Beneficial Ownership Information.
- Business Address Verification.

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8. Account Opening Workflow

The standard onboarding workflow consists of the following steps:

Step 1 – Customer Inquiry

The employee welcomes the customer, explains available account types, eligibility requirements, applicable fees (if any), and required documentation.

Step 2 – Application Submission

The customer completes the official Account Opening Application Form and submits all required supporting documents.

Step 3 – Identity Verification

The employee verifies the customer's identity using approved identification documents and compares the information with the application form.

Document authenticity should be checked using approved verification methods where available.

Step 4 – Document Review

The Operations Officer reviews all submitted documentation to confirm completeness, validity, and consistency.

Incomplete applications should not proceed until all required information has been provided.

Step 5 – Customer Profile Creation

The employee creates the customer's profile within the Core Banking System, ensuring that all information is entered accurately.

Mandatory fields must be completed before the application can proceed.

Step 6 – KYC & AML Screening

The application is forwarded to the Compliance function for Know Your Customer (KYC) verification, Anti-Money Laundering (AML) screening, sanctions checks, and risk assessment.

Applications that require enhanced due diligence must be escalated in accordance with internal compliance procedures.

Step 7 – Account Approval

Once all verification and compliance checks have been successfully completed, the designated approving authority reviews the application and authorizes account creation.

Step 8 – Account Activation

After approval, the Core Banking System generates the customer account number.

The customer receives confirmation that the account has been activated, together with information on available banking channels and next steps.

9. Customer Verification Process

Customer identity verification is a mandatory step before any account can be opened.

Employees must verify:

- Full legal name

- Date of birth
- Nationality
- Residential address
- Government-issued identification
- Contact information
- Tax Identification Number (where applicable)

Verification must be completed using approved identity verification systems and official documentation.

If discrepancies are identified, the application must be suspended until resolved.

Identity Verification Checklist

Employees should confirm that:

- Identification documents are valid and unexpired.
- Customer photographs match the individual present.
- Signatures are consistent.
- Customer details match submitted documentation.
- Proof of address is current and acceptable.

Any suspected forgery must be reported immediately to the Compliance Department.

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10. Know Your Customer (KYC) Compliance

All account opening requests are subject to Know Your Customer (KYC) requirements.

Employees must:

- Verify customer identity.
- Understand the nature of the customer's relationship with the Bank.
- Record occupation or business activities.
- Identify beneficial owners where applicable.

- Collect supporting documentation.
- Complete customer due diligence.

Customers may not be onboarded until KYC requirements have been successfully completed.

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11. Anti-Money Laundering (AML) Screening

Before account activation, customers must undergo AML screening to reduce financial crime risks.

Screening includes:

- Sanctions screening
- Politically Exposed Person (PEP) screening
- Adverse media checks
- Internal watchlist verification
- Fraud database screening

Positive matches must be escalated immediately to the Compliance Department.

Employees must never inform customers that an AML investigation is taking place.

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12. Customer Risk Classification

Following KYC and AML reviews, customers are assigned a risk rating.

Risk Level	Description
Low Risk	Standard customers with minimal regulatory concerns.
Medium Risk	Customers requiring additional monitoring based on products, geography, or transaction patterns.
High Risk	Customers requiring Enhanced Due Diligence (EDD), senior approval, and ongoing monitoring.

Risk ratings must be reviewed periodically and updated when customer circumstances change.

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13. Account Approval Authority

Account approvals are granted based on the customer's risk profile.

Standard Accounts

Approved by:

- Operations Officer
- Branch Manager (where required)

High-Risk Customers

Require additional approval from:

- Compliance Officer
- Branch Manager
- Senior Operations Manager (where applicable)

No employee may approve an account for themselves or an immediate family member.

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14. Exception Handling

Exceptions may occur when:

- Required documentation is temporarily unavailable.
- System outages delay processing.
- Additional regulatory verification is required.
- Compliance requests Enhanced Due Diligence (EDD).

All exceptions must:

- Be documented.
- Receive appropriate approval.
- Be monitored until resolved.

Unauthorized exceptions are prohibited.

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15. Rejected Applications

Applications may be rejected for reasons including:

- Incomplete documentation.
- Failed identity verification.
- Fraud concerns.
- AML or sanctions screening matches.
- False information.
- Regulatory restrictions.
- Failure to satisfy Bank eligibility requirements.

Rejected applications must be documented with the reason for rejection.

Employees should communicate decisions professionally without disclosing confidential compliance procedures.

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16. Record Management & Retention

All account opening documentation must be stored securely in accordance with Aegis Bank's Information Security and Data Retention Policies.

Records include:

- Account application forms
- Identity documents
- Proof of address
- KYC records
- AML screening results
- Approval records
- Risk assessments
- Customer declarations

Retention Period

Customer onboarding records must be retained for **a minimum of seven (7) years** after account closure or longer where required by applicable laws or regulatory obligations.

Access to customer records is restricted to authorized personnel.

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17. Internal Controls & Audit

The Banking Operations Department shall conduct periodic reviews to ensure compliance with this SOP.

Audit activities may include:

- Documentation reviews
- Sample testing
- Compliance checks
- Quality assurance reviews
- Risk assessments
- System access reviews

Any control deficiencies must be documented and addressed through corrective action plans.

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18. Practical Examples

Example 1 – Successful Account Opening

A customer visits a branch to open a Personal Savings Account.

The customer provides:

- Valid government-issued identification
- Proof of address
- Completed application form

Identity verification, KYC, and AML screening are completed successfully.

Outcome

The account is approved, activated, and the customer receives their account details along with guidance on digital banking enrollment.

Example 2 – Missing Documentation

A customer applies for a Business Account but does not provide proof of business registration.

Correct Action

The application remains pending until all required documents are received and verified.

Example 3 – Sanctions Screening Match

During onboarding, the customer's name matches an international sanctions list.

Correct Action

The employee immediately escalates the application to the Compliance Department. No account is opened until the investigation is completed.

Example 4 – Suspected Identity Fraud

A Branch Officer notices inconsistencies between the customer's identification document and the information provided in the application.

Correct Action

Processing is stopped immediately, the concern is documented, and the matter is referred to Compliance for further investigation.

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19. Frequently Asked Questions (FAQs)

Q1. Can an account be opened without completing KYC?

No. All mandatory KYC requirements must be completed before account approval.

Q2. What happens if required documents are missing?

The application remains pending until all mandatory documentation has been submitted and verified.

Q3. Who approves high-risk customer accounts?

High-risk accounts require additional review and approval by the Compliance Department and other authorized approvers in accordance with Bank policy.

Q4. Can employees bypass the account opening workflow?

No. Every account must follow the approved workflow to ensure regulatory compliance and operational consistency.

Q5. What should I do if I suspect identity fraud?

Immediately suspend processing, document the concern, and notify the Compliance Department in accordance with the Fraud Reporting Procedure.

Q6. How long are customer onboarding records retained?

Customer onboarding records are generally retained for at least seven years after account closure or longer if required by applicable laws or regulatory obligations.

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20. Related Documents

This SOP should be read together with:

- Employee Handbook (AB-HR-001)
- Code of Conduct (AB-HR-004)
- **KYC Verification Policy (AB-OPS-002)**
- **Anti-Money Laundering (AML) Policy (AB-OPS-003)**
- Customer Privacy Policy (AB-COMP-002)
- Information Security Policy (AB-SEC-003)
- Data Classification Policy (AB-SEC-005)

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21. Revision History

Version	Date	Description	Author
v1.0	January 15, 2026	Initial Release	Banking Operations
v1.1	April 18, 2026	Updated Customer Verification and Documentation Standards	Banking Operations
v1.2	**July 24, 2026**	**Enhanced KYC/AML Controls, Risk Classification Framework, and Record Retention Requirements**	**Banking Operations**

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22. Document Approval

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